FMGT 3510 – Finance 1
Fall 2026

Chapter 1

Introduction to Corporate Finance

How to succeed in business ?

Sell a good and/or a service of value to customers at a proper price acceptable for customers (value proposition), a price that covers all costs, including the cost of capital.

What do you need to achieve this outcome?

- Skilled, ethical, hardworking people.
- Good relationships with customers and suppliers.
- Enough cash/capital to support your plans and operations.
- Requires the firm to generate returns that are high enough to attract investors.

What does corporate finance deal with?

- Obtaining **financing** for the company (**capital structure** decisions)
- Selecting **investments** (**capital budgeting** decisions)
  - Projects must **cover all your costs**, **including the cost of capital**.
  - Projects must **add value** to your firm.
- Managing day-to-day financing activities (**working capital** decisions).

Financing the economy (1 of 3)

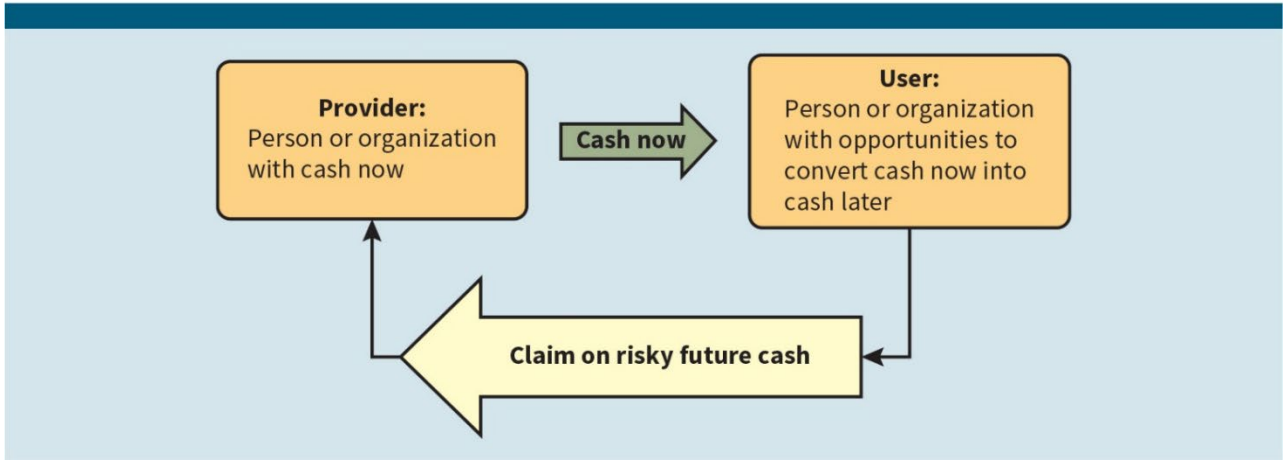
A big picture view of finance starts with identifying and understanding the role and needs of two types of entities:

Financing providers, savers : Individuals or organizations that have **more cash than they currently need**.

This group is quite varied but includes people saving for retirement, pension funds, and banks willing to make loans.

Financing seekers, "users" : Those that have **opportunities to generate future cash flow** but don't have enough cash to exploit those opportunities.
This group is equally varied and includes students looking to fund their education, governments, entrepreneurs with ideas and corporations with plans to grow.

Figure 1-1
Providers and Users: Cash Now versus Claims on Risky Future Cash



Financing the economy (2 of 3)

Savers (suppliers of capital) **provide** cash to the **second group (individuals, banks, government, businesses …)** **in exchange for a claim on future cash flow.** This claim could be in the form of:

- **interest payments** (for a **loans** or **bonds**)
- **dividends** and **capital gains** (for **common** or **preferred shares**).

The allocation of capital can be accomplished **through financial markets** e.g. the stock market, the bond market, etc.

Why is it important? If capital can not be allocated efficiently then it will be difficult to create wealth and economic growth.

Financing the economy (3 of 3)

How can providers (suppliers) of capital decide how they want to invest their money?

- Forecast the **expected cash flows** a project could generate (ex. using financial statement analysis) and estimated the project **expected rate of return**

- Assess the **risk** associated to the investment and determine the minimum acceptable rate of return for this level of risk (*required rate of return*)

- **Compare** the investment's **expected rate of return** to the investor's **required rate of return**: Is the interest rate on the loan high enough? Are the common shares properly valued based on future cash flows?

We will study this later this term (Chapter 7 and 8).

Main objective of a corporation: value maximization (1 of 2)

What do we mean by value maximization?
Maximizing the value of the firm, maximizing shareholders' wealth, maximizing the stock price in the long run.

How can the firm's management **maximize value**? What factors determine the value of the firm?

A business has value because it is expected to produce **enough future cash flows** to **cover its costs** and **meet investors requirements.**

Therefore, the **value of any business** *is the* ***present value*** *of its* ***expected Free Cash Flows (FCF)****, discounted at the firm's* ***Weighted Average cost of Capital (WACC)***

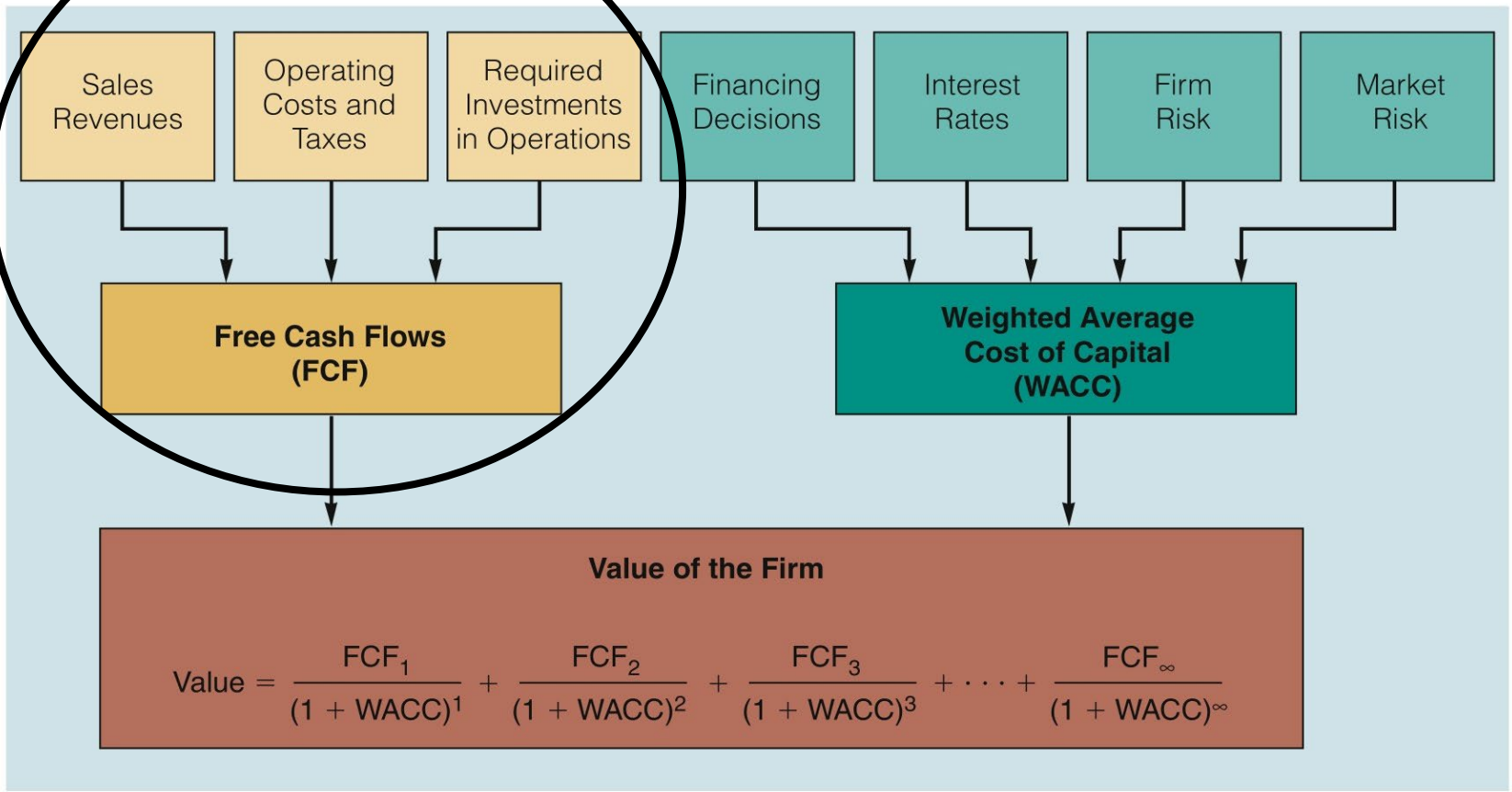
FCF is the cash that is available for distribution ("free") to the firm's investors:

FCF = Sales Revenue - Operating Costs - Operating Taxes - Required Investments in Operating Capital

We will study this in chapter 2 – FMGT 3510.

Figure 1-1

Determinants of a Firm's Value



Main objective of a corporation: value maximization (2 of 2)

The **cost of capital** (WACC) is the rate of return required by the company's investors on average.

To calculate it we need to consider the **after-tax rate of return required** by
- **lenders** (providers of interest paying **debt** financing) and by
- **shareholders** (providers of **equity** financing).

We will study this in details next term (Ch. 9 - FMGT 4510).

Since the value of the firm if the present value of the firm's expected FCF discounted at the firm's WACC, **three main factors drive the value of a firm:**
- **Amount** of free cash flow.
- **Timing** of free cash flow.
- **Riskiness** of free cash flow.

All other things equal, **investors normally prefer more cash flow, sooner, and with lower risk.**

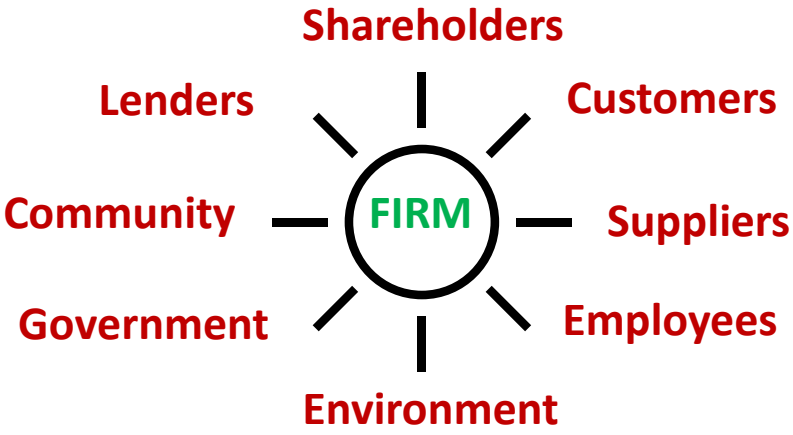
Stock price maximization and social welfare

Is shareholder value maximization good for society overall?

This topic has been hotly debated over recent years. An answer of "yes" to this question can be based on the following ideas:

- Shareholders are members of the wider community and share ownership is widespread in many countries. Increasing shareholder value therefore **creates wealth** for **many members of society**.
- Consumers can benefit from the competition among firms that results from attempts to increase company value. **Products/services become cheaper and better.**
- Companies that strive to increase value often grow and therefore need to hire more workers thereby **reducing unemployment**
- Successful firms pay **taxes**.

This debate is far from over, however, and many counter-arguments have been provided regarding each of these purported benefits.



Governing a corporation, stock price maximization and ethics (1 of 2)

The connection between value and FCF means that **management must focus on those decisions that affect free cash flow.**

However, **management decisions affect all of a firm's stakeholders and not just shareholders.**

US corporate law requires that shareholder wealth maximization should be prioritized.

Canadian law requires that decisions be made **in the "best interests of the corporation", and its stakeholders, including shareholders but also considering other stakeholders (employees, suppliers, customers, lenders, community, government, environment)**

Management must also ensure that its **behaviour and decisions** are **both legal and ethical** regarding investors, employees, customers and society in general. In other words, firms must be managed in an **ethical** manner.

Governing a corporation, stock price maximization and ethics (2 of 2)

Ethical behaviour is **more than simply obeying rules and regulations**. It also includes:

- Not using confidential information for personal gain (*insider trading*)
- Attention to product safety and quality
- Fair employment practices
- Fair marketing and selling practices
- Community involvement …

For publicly traded corporations**: maximizing the firm's intrinsic share price** (not just the current market price) is the **correct way to maximize value**

Management must behave ethically and not just mislead investors to temporarily boost the firms' share price above its intrinsic share price.

The Agency problem (1 of 2)

Often, shareholders are not directly involved in the day-to-day management of the firm. Instead, they hire a team of managers to run the firm.

Ex. Rogers Communications – 429,076,558 B shares (as of June 30th, 2026)
20 - 24% owned by retail investors
The rest owned by institutional investors (more than 500 different investors: mutual funds, insurance companies, pension funds, banks, holdings …)

This **separation of management and ownership** can impede the maximization of shareholders' value.

Corporate managers and executives will have their **own personal objectives** such as new car, new house, more power, more personal wealth…

Maximizing a managers' personal wealth may **conflict** with the **maximization of shareholders' wealth** (Ex. Acquisition of a new corporate jet, building prestigious but unnecessary new headquarters).

These conflicting objectives give rise to the **agency problem.**

The Agency problem (2 of 2)

Separation of management and ownership

Agency problem and examples of agency costs

- **Direct** agency costs: cost of monitoring top executives' actions
- **Indirect** agency costs: lost opportunities, consequences of poor managerial decision (ex. Mergers and acquisitions, M&A)

Solution

Compensation mechanism that aligns top executives' personal interests with shareholders' interest : **Bonuses based on FCF** generation NOT on sales!

Governance policies: Independent board of directors to properly monitor top executives' actions, define the firm's overall strategy, monitor performance, protect shareholders' interests.

Examples: Canada Goose and BMO (source: S&P Capital iQ)

Separating investment and consumption decision

Some shareholders want a **high level of dividends <u>now</u>** (to finance present consumption):

- Greater payout ratio
- Lower retained earnings (internally generated equity financing)

Others **want the business to reinvest its cash flows** because they want **higher dividends <u>later</u>** (delayed consumption):

- Lower dividend payout ratio
- Greater retained earning.

Investors' objectives may conflict with the strategy that will maximize the firm's value.

Irving Fischer's **Separation Theorem**: the firm should always **pursue the strategy that maximizes value regardless of the preferences of the firm's investors.**

Firms should **separate** their investment decisions from the consumption preferences of the firm's investors.

- The firm should invest in to maximize value creation ;
- **Investors** can **use the capital markets to adjust their portfolios** in a way that suits their individual consumption timing preferences.

The Capital Allocation process (1 of 2)

How does a growing business get the funding it needs?

- In any economy some people, firms, etc. earn more than they spend: **Savers**
- We also have those that spend more than they earn: **Investors** (not including people that borrow to fund current consumption e.g. a vacation or a new boat. This spending is **not** investing).

Capital allocation involves **moving capital from savers to investors** on a basis acceptable to both parties.

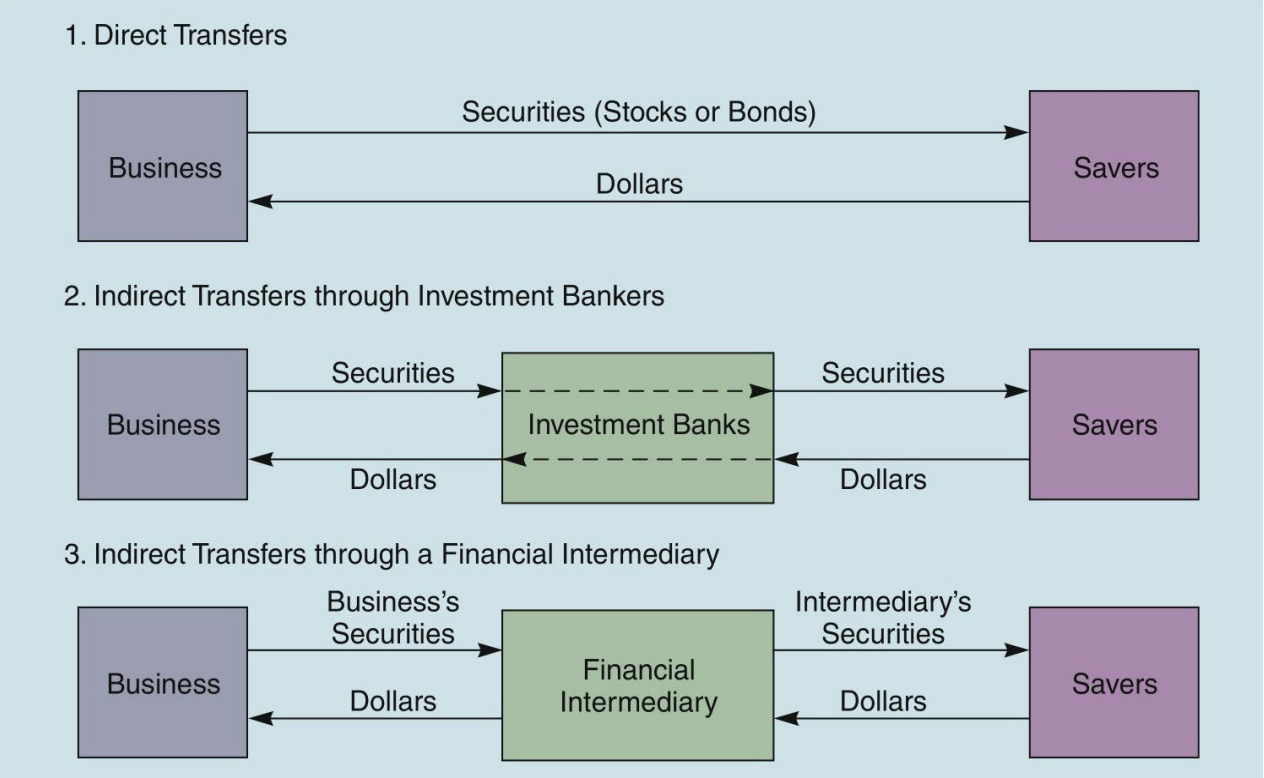
This can be done:

- Directly
- Through investment banks (a "middle-person")
- Through a financial intermediary (e.g. a commercial bank, pension fund, etc.).

The process involves:

- The creation of new **securities**
- Financial **institutions**
- Financial **markets.**

The Capital Allocation process (2 of 2)



Which one is which?

Ex. 1. XYZ borrows $60 million from BMO. XYZ issues $60 million worth of bonds, all bought by BMO.

Ex. 2. SmallCorp. Issues and sells new shares to a shareholder in exchange of $10 million of additional equity capital.

Ex. 3. ABC Corp. borrows $200 million by issuing some new bonds, with the help of RBC Capital markets, Goldman Sachs etc.

Introduction to the Canadian financial system

Financial Markets are "where" financial assets, i.e. securities, are bought and sold.

Securities are contracts that entitle the owner to some of the cash flow generated by a business's assets.

- **Stocks and bonds and loans and mortgages pay interest or dividends** that comes from the cash flow generated by real assets/businesses
- **Derivatives** are securities whose **value is derived** from the value of some other traded asset or security (**underlying asset: commodity, stock, currency …)**
- Examples of derivatives are **options, futures, swaps** (*We will study this next term – FMGT 4510*).

The Cost of money (1 of 2)

Investors require a certain return on investment, referred to as the **cost of money** or the **cost of capital**, for them to be convinced to invest in a security.

- For **debt**, this cost is called the **interest rate**
- For **equity**, it is called the **cost of equity** and is made up of **dividends and capital gains**

What four fundamental factors determine the cost of capital in an economy?

- **Production opportunities**: what return will investments in real assets and businesses generate?
- **Time preference** for consumption: how high is the preference by people for consumption today vs. saving and consuming later?
- **Risk**
- **Expected Inflation.**

The Cost of money (2 of 2)

What economic factors affect the cost of capital?

- **Central bank policy e.g. Bank of Canada: changes to the money supply**

  Ex: if expects higher inflation => tighter monetary policy, raise interest rates

- **Government budgets: surplus or deficit**

  Ex. If deficit: can be financed by borrowing from the market (issue new bonds); risk: less capital available for the private sector!

- **Level of business activity: expansion or recession**

  Ex. Lower interest rates to boost economy if fear of a recession

- **International trade: surplus or deficit**

  Ex. Deficit (Imports>Exports): need to be financed, need to increase interest rates to attract capital, currency depreciation …

- **Country risk: political stability and the "Rule of Law"**

  Ex. USA

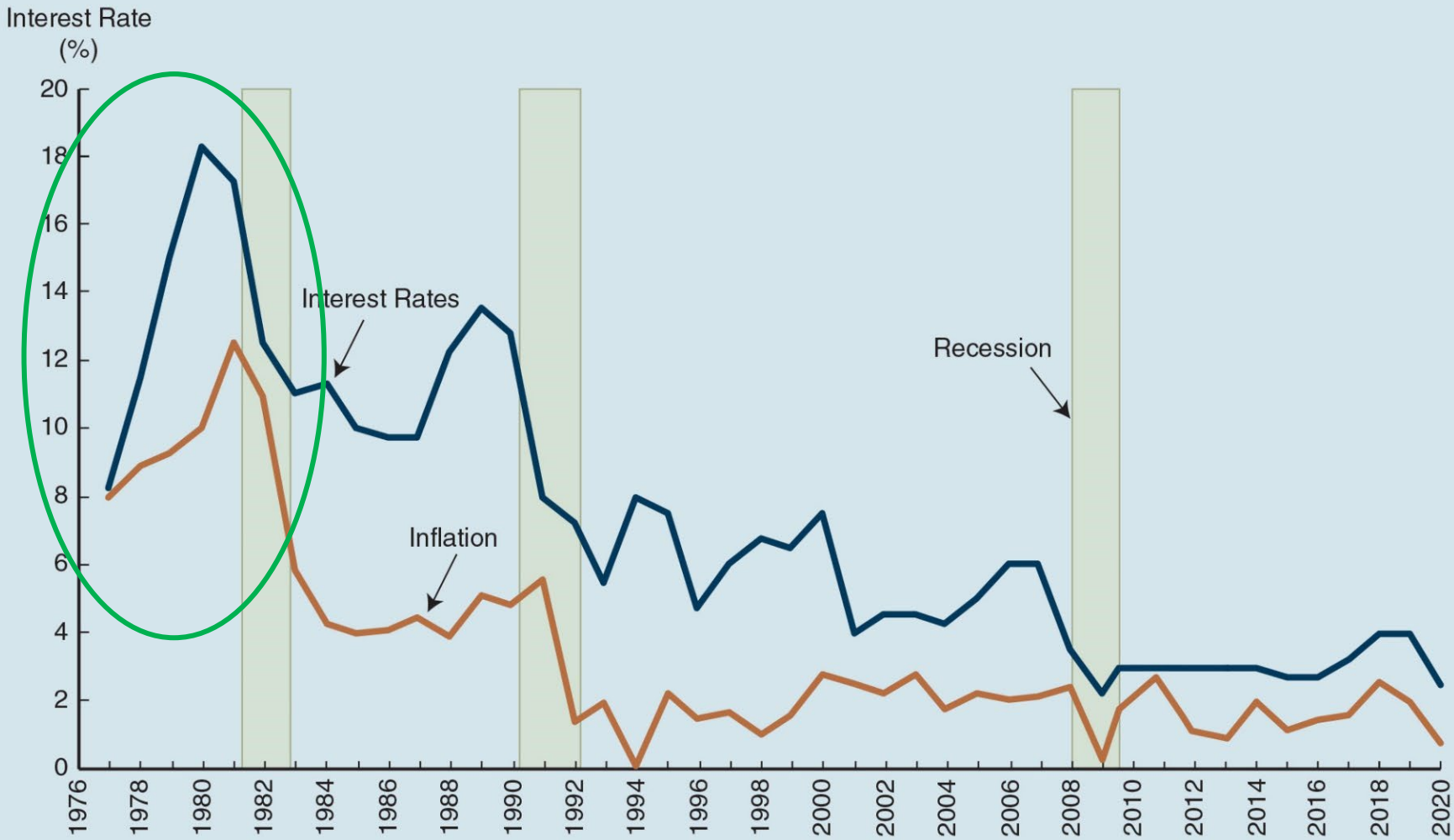
- **Exchange rate risk: foreign currency rates of return**

  If a currency depreciation => renders imports more expensive

  Note: importance of having an independent Central Bank.

Figure 1-5

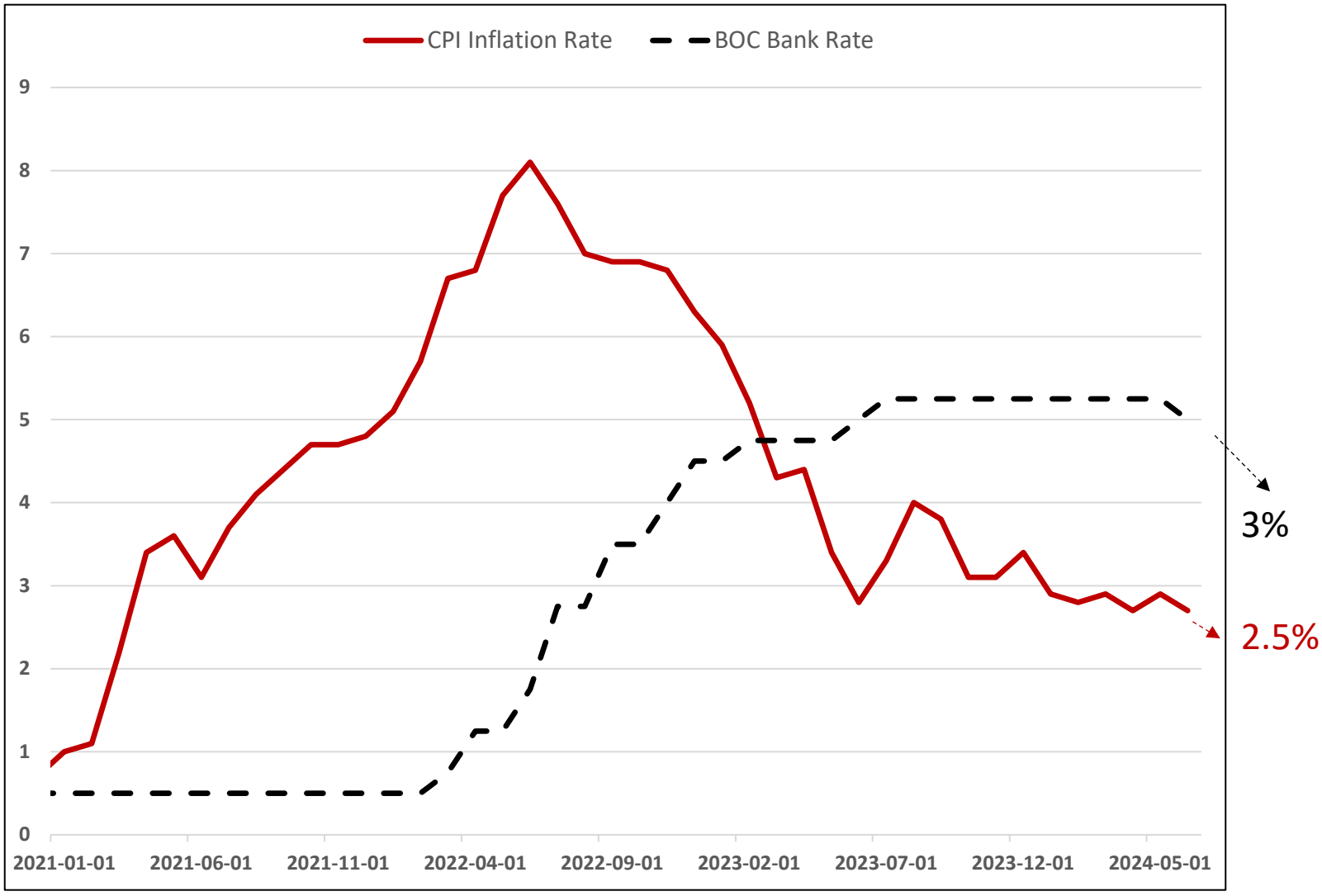
Business Activity, Interest Rates, and Inflation



Note: Inflation is measured by the rate of change for the Consumer Price Index (CPI).
Interest rate data is the chartered bank prime rate.

Sources: Statistics Canada. Table 18-10-0005-01 Consumer Price Index, annual average, not seasonally adjusted; Bank of Canada, **https://www.bankofcanada.ca/?p5205791**; Shaded areas (business recessions) from ECRI **https://www.businesscycle.com**.

Inflation and interest rates have both moved up significantly since the end of 2020, as shown in the following chart.



Main segments of financial markets (1 of 2)

Money markets vs. capital markets

Money markets are where **short-term debt** securities are bought and sold primarily by dealers (dealers buy or sell for themselves at their own risk).

Capital markets are where **long-term debt and shares** of stock are sold primarily by **brokers and agents** (brokers match buyers and sellers but do not take ownership of the security themselves).

Primary vs. secondary markets

Primary market is where the original sale of the security occurs. The corporation or government that issues the security receives the proceeds from the sale.

Secondary market is where the securities are bought or sold **after** the original sale. The entity that originally issued the security is not involved in a secondary market transaction. A strong secondary market is required to have a successful primary market.

Main segments of financial markets (2 of 2)

Private vs. Public markets

- In private markets, trades are worked out directly between two parties
- Private markets **lack liquidity and transparency:**
  - **Electronic Communication Networks, dark pools**
  - **Private equity market**
- In public markets, standardized contracts are traded on an organized market
- Public markets are **more liquid and transparent (ex. Toronto Stock Exchange (TSX), NYSE, Nasdaq …).**

Market participants: who does the buying and selling?

- **Individuals**: "retail clients"
- **Institutions**: life insurance companies, hedge funds, pension funds, mutual funds, governments, credit union, commercial banks, investment banks …
- **Participants can trade directly, if they are a member of the exchange**. Otherwise, they put their orders **through a broker** either on-line e.g. Robinhood Markets, Questrade or through a "full service" investment dealer e.g. Raymond James, BMO Nesbitt, etc.

New actors in Finance: FinTech (1 of 2)

The term **"FinTech"** designates online platforms offering a wide range of financial services to:

Individuals:

- credit card
- mortgages
- identity theft protection
- credit score monitoring

Businesses:

- loans
- lines of credit
- automated, secured domestic and international transactions

Retail and institutional investors:

- portfolio management
- automated, real-time, secured settlement of domestic and international securities (stocks, bonds, etc.) transactions.

New actors in Finance: FinTech (2 of 2)

FinTech firms combine financial services, technology and IT expertise (e.g. AI, blockchain technology, “robo-advisors”, internet of things) to improve clients’ experience:

- provide safer, faster and easier access to services
- reduce operating costs and fees.

For example,

- Some FinTech firms specialize in Accounting, or Payroll
- Some FinTech firms operate as the all-digital bank platforms of traditional banks such as Equitable Bank’s EQ Bank digital platform.

For more about FinTech firms in Canada, see:
https://www.pwc.com/ca/en/industries/technology/canadian-fintech-market-map.html
https://www.ivey.uwo.ca/media/r3wozs4g/ivey_fintech_150_2024.pdf

Recent trends in Finance
Importance of private equity

Tech value creation is increasingly happening in private markets.
Leading **AI firms** have been raising billions of $ without going public.

Companies stay private longer.
Deep pools of Private Equity/Venture Capital and institutional capital => delays need of going public (IPO).

Private investors capture more of the growth curve
Early-stage => scale-up => global leader can now occur **before public-market investors gain access**.

By IPO time, valuations may already reflect **years of private-market appreciation** => potentially lower upside for new public shareholders.

Ex. SpaceX **Private equity funding round in 2023 at $80**
IPO price $135

This will be studied next term (FMGT 4510 Business Finance 2).

Recent trends in Finance : Risk of debt crisis

Global debt at historic levels

Global debt ≈ **235% of world GDP**; public debt is approaching **94% of GDP**.
Refinancing old, cheap debt will be done sharply higher interest rate.

Fiscal space is shrinking

Governments face competing demands: **defense, aging populations, infrastructure, technology (AI), climate & social spending …**

Major economies are part of the problem

Large deficits and rising debt in the **USA, Japan, France …** make this a systemic issue.

Risk: higher debt leads to higher interest rates which in turns lead higher financing costs and weaker economic growth. Debt become harder to serve (higher default risk).

Not necessarily an imminent global "debt crash" — but increasingly a global debt sustainability problem.